

## Three-Year Financial Model

Every figure derived from the drivers below — nothing is asserted

### 1 Drivers

This is the only tab with typed-in numbers. Everything on pages 2–4 is a formula pointing back here, so changing one assumption moves the whole model. The three revenue targets carried over from the Round 1 narrative — \$1.0M, \$8.2M, \$36.1M — are not typed anywhere; they fall out of these inputs.

| Driver                                  | 2026            | 2027            | 2028            | Basis / source                                               |
|-----------------------------------------|-----------------|-----------------|-----------------|--------------------------------------------------------------|
| <b>VOLUME</b>                           |                 |                 |                 |                                                              |
| Provider groups — ending                | 110             | 560             | 2,240           | Sales plan. A 'group' averages 8 physicians.                 |
| <b>Provider groups — average active</b> | <b>55</b>       | <b>330</b>      | <b>1,400</b>    | Monthly-weighted; back-loaded ramp within each year.         |
| Physicians per group                    | 8               | 8               | 8               | Mid-market target segment.                                   |
| Prior auths per physician per week      | 30              | 30              | 30              | Conservative. AMA 2023 survey reports 43–45.                 |
| Share of PA volume routed through Pavo  | 25%             | 40%             | 50%             | Rises as the encoded rule library widens.                    |
| <b>Payer contracts — average active</b> | <b>11</b>       | <b>84</b>       | <b>160</b>      | ~18% of the ~900 payers impacted by CMS-0057-F by 2028.      |
| <b>PRICE</b>                            |                 |                 |                 |                                                              |
| Fee per authorization                   | \$3.00          | \$3.00          | \$3.00          | 85–92% below the \$15–\$40 payers spend manually.            |
| Provider subscription                   | \$400           | \$400           | \$400           | Per group per month.                                         |
| Payer compliance API                    | \$20,000        | \$20,000        | \$20,000        | Per payer per year.                                          |
| <b>ACQUISITION</b>                      |                 |                 |                 |                                                              |
| New provider groups acquired            | 110             | 470             | 1,750           | Ending count, less prior ending, plus churned replacements.  |
| New payer contracts acquired            | 18              | 122             | 80              |                                                              |
| <b>Provider CAC</b>                     | <b>\$9,500</b>  | <b>\$7,200</b>  | <b>\$6,000</b>  | Falls 37%: payer contracts open the provider channel.        |
| <b>Payer CAC</b>                        | <b>\$34,000</b> | <b>\$27,000</b> | <b>\$22,000</b> | Enterprise cycle, 6–12 months.                               |
| Provider annual logo churn              | 8%              | 6%              | 5%              |                                                              |
| Payer annual logo churn                 | 2%              | 2%              | 2%              | Multi-year compliance contracts.                             |
| <b>COST OF REVENUE</b>                  |                 |                 |                 |                                                              |
| Cloud infrastructure                    | \$54,000        | \$198,000       | \$900,000       | Compute, Postgres, object storage, egress, 7-year retention. |
| Model API (Insure + appeals only)       | \$11,000        | \$62,000        | \$280,000       | Zero tokens on the authorization path — see tab 6.           |
| Clinical rule library — FTE             | 1.5             | 3.5             | 8.0             | Informaticists encoding each payer's published criteria.     |
| Clinical rule library — loaded cost/FTE | \$126,000       | \$130,000       | \$135,000       |                                                              |
| Implementation & onboarding — FTE       | 2.0             | 4.0             | 12.0            |                                                              |
| Implementation — loaded cost/FTE        | \$112,000       | \$119,000       | \$119,000       |                                                              |
| Customer support — FTE                  | 1.0             | 2.0             | 8.0             |                                                              |
| Support — loaded cost/FTE               | \$92,000        | \$95,000        | \$98,000        |                                                              |
| Security & compliance                   | \$118,000       | \$112,000       | \$290,000       | SOC 2 Type II in Year 1, then surveillance + pen testing.    |
| <b>OPERATING EXPENSE</b>                |                 |                 |                 |                                                              |
| Engineers                               | 4               | 12              | 26              |                                                              |
| Loaded cost per engineer                | \$170,000       | \$175,000       | \$180,000       |                                                              |
| General & administrative                | \$340,000       | \$1,150,000     | \$3,200,000     | Finance, legal, HR, facilities, insurance.                   |

Reading this model: every figure on tabs 2–7 is an Excel formula pointing back at this tab. The three revenue targets carried over from the Round 1 narrative (\$1.0M / \$8.2M / \$36.1M) are not typed anywhere — they fall out of the drivers above. Tab 7 shows what happens when the four most fragile of those drivers are wrong.

## 2 Revenue build

| Line                                                                                                                                                                     | 2026             | 2027               | 2028                | Note                              |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|--------------------|---------------------|-----------------------------------|
| <b>AUTHORIZATION VOLUME</b>                                                                                                                                              |                  |                    |                     |                                   |
| Prior auths per group per year                                                                                                                                           | 12,480           | 12,480             | 12,480              | 8 physicians × 30/week × 52 weeks |
| Authorizations routed through Pavo, per group                                                                                                                            | 3,120            | 4,992              | 6,240               |                                   |
| <b>Total authorizations processed</b>                                                                                                                                    | <b>171,600</b>   | <b>1,647,360</b>   | <b>8,736,000</b>    |                                   |
| <b>REVENUE BY STREAM</b>                                                                                                                                                 |                  |                    |                     |                                   |
| Per-authorization fees                                                                                                                                                   | \$514,800        | \$4,942,080        | \$26,208,000        | \$3.00 per authorization          |
| Provider subscriptions                                                                                                                                                   | \$264,000        | \$1,584,000        | \$6,720,000         | \$400/month per group             |
| Payer compliance API                                                                                                                                                     | \$220,000        | \$1,680,000        | \$3,200,000         | \$20,000/year per payer           |
| <b>Total revenue</b>                                                                                                                                                     | <b>\$998,800</b> | <b>\$8,206,080</b> | <b>\$36,128,000</b> |                                   |
| Year-on-year growth                                                                                                                                                      |                  | 722%               | 340%                |                                   |
| <b>MIX</b>                                                                                                                                                               |                  |                    |                     |                                   |
| Authorization fees, share of revenue                                                                                                                                     | 51.5%            | 60.2%              | 72.5%               |                                   |
| Subscriptions, share of revenue                                                                                                                                          | 26.4%            | 19.3%              | 18.6%               |                                   |
| Compliance API, share of revenue                                                                                                                                         | 22.0%            | 20.5%              | 8.9%                |                                   |
| <i>The authorization fee is 73% of 2028 revenue, which is why the model's single greatest exposure is provider group count rather than price. Tab 7 quantifies that.</i> |                  |                    |                     |                                   |

## 3 Cost of revenue and gross margin

| Line                                                                                                                                                                                                                                                                                                                                                           | 2026             | 2027               | 2028                | Driver                                               |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|--------------------|---------------------|------------------------------------------------------|
| Cloud infrastructure                                                                                                                                                                                                                                                                                                                                           | \$54,000         | \$198,000          | \$900,000           | Compute, Postgres, storage, egress, 7-year retention |
| Model API — Insure parsing, appeal drafting                                                                                                                                                                                                                                                                                                                    | \$11,000         | \$62,000           | \$280,000           | Not on the authorization path                        |
| Clinical rule library                                                                                                                                                                                                                                                                                                                                          | \$189,000        | \$455,000          | \$1,080,000         | 1.5 → 3.5 → 8.0 FTE informaticists                   |
| Implementation & onboarding                                                                                                                                                                                                                                                                                                                                    | \$224,000        | \$476,000          | \$1,428,000         | 2.0 → 4.0 → 12.0 FTE                                 |
| Customer support                                                                                                                                                                                                                                                                                                                                               | \$92,000         | \$190,000          | \$784,000           | 1.0 → 2.0 → 8.0 FTE                                  |
| Security & compliance                                                                                                                                                                                                                                                                                                                                          | \$118,000        | \$112,000          | \$290,000           | SOC 2 Type II, penetration testing, BAA management   |
| <b>Total cost of revenue</b>                                                                                                                                                                                                                                                                                                                                   | <b>\$688,000</b> | <b>\$1,493,000</b> | <b>\$4,762,000</b>  |                                                      |
| Revenue                                                                                                                                                                                                                                                                                                                                                        | \$998,800        | \$8,206,080        | \$36,128,000        |                                                      |
| <b>Gross profit</b>                                                                                                                                                                                                                                                                                                                                            | <b>\$310,800</b> | <b>\$6,713,080</b> | <b>\$31,366,000</b> |                                                      |
| <b>Gross margin</b>                                                                                                                                                                                                                                                                                                                                            | <b>31%</b>       | <b>82%</b>         | <b>87%</b>          |                                                      |
| <b>COST SHARE</b>                                                                                                                                                                                                                                                                                                                                              |                  |                    |                     |                                                      |
| People (rule library + implementation + support)                                                                                                                                                                                                                                                                                                               | 73.4%            | 75.1%              | 69.1%               |                                                      |
| Infrastructure + model API                                                                                                                                                                                                                                                                                                                                     | 9.4%             | 17.4%              | 24.8%               |                                                      |
| <i>Year 1 gross margin of 31% is deliberate and corrects the Round 1 narrative, which implied break-even. Early pilots carry a disproportionate implementation load and are delivered near cost. Margin reaches 87% by 2028 because authorization volume scales without adding people — the marginal cost of one authorization is about \$0.00057 (tab 6).</i> |                  |                    |                     |                                                      |

## 4 Profit and loss

| Line                           | 2026                 | 2027                 | 2028                  |
|--------------------------------|----------------------|----------------------|-----------------------|
| <b>Revenue</b>                 | <b>\$998,800</b>     | <b>\$8,206,080</b>   | <b>\$36,128,000</b>   |
| Cost of revenue                | (\$688,000)          | (\$1,493,000)        | (\$4,762,000)         |
| <b>Gross profit</b>            | <b>\$310,800</b>     | <b>\$6,713,080</b>   | <b>\$31,366,000</b>   |
| Gross margin                   | 31%                  | 82%                  | 87%                   |
| <b>OPERATING EXPENSE</b>       |                      |                      |                       |
| Research & development         | (\$680,000)          | (\$2,100,000)        | (\$4,680,000)         |
| Sales & marketing              | (\$1,657,000)        | (\$6,678,000)        | (\$12,260,000)        |
| New logos acquired             | 128                  | 592                  | 1,830                 |
| General & administrative       | (\$340,000)          | (\$1,150,000)        | (\$3,200,000)         |
| <b>Total operating expense</b> | <b>(\$2,677,000)</b> | <b>(\$9,928,000)</b> | <b>(\$20,140,000)</b> |
| <b>EBITDA</b>                  | <b>(\$2,366,200)</b> | <b>(\$3,214,920)</b> | <b>\$11,226,000</b>   |
| EBITDA margin                  | -237%                | -39%                 | 31%                   |
| <b>Cumulative EBITDA</b>       | <b>(\$2,366,200)</b> | <b>(\$5,581,120)</b> | <b>\$5,644,880</b>    |

Peak cumulative burn is \$5.58M. An \$8.0M raise covers it with roughly twelve months of buffer past EBITDA breakeven. Sales & marketing is the largest operating line in all three years, and 73% of it is provider acquisition — which the payer channel is what makes cheap.

## 5 Unit economics — CAC, LTV, payback

| Metric                           | Provider group  | Payer           | Blended         |
|----------------------------------|-----------------|-----------------|-----------------|
| Annual revenue per account       | \$23,520        | \$20,000        | \$23,159        |
| Gross margin applied             | 87%             | 87%             | 87%             |
| <b>Gross profit per account</b>  | <b>\$20,420</b> | <b>\$17,364</b> | <b>\$20,106</b> |
| Annual logo churn                | 5.0%            | 2.0%            | 4.7%            |
| <b>Customer acquisition cost</b> | <b>\$6,000</b>  | <b>\$22,000</b> | <b>\$6,699</b>  |
| <b>LIFETIME VALUE</b>            |                 |                 |                 |
| Year 1 gross profit              | \$20,420        | \$17,364        | \$20,106        |
| Year 2 gross profit              | \$19,399        | \$17,017        | \$19,163        |
| Year 3 gross profit              | \$18,429        | \$16,676        | \$18,264        |
| Year 4 gross profit              | \$17,507        | \$16,343        | \$17,407        |
| Year 5 gross profit              | \$16,632        | \$16,016        | \$16,590        |
| <b>LTV — 3-year</b>              | <b>\$58,248</b> | <b>\$51,057</b> | <b>\$57,533</b> |
| LTV — 5-year                     | \$92,387        | \$83,415        | \$91,530        |
| <b>LTV : CAC (3-year)</b>        | <b>9.7×</b>     | <b>2.3×</b>     | <b>8.6×</b>     |
| <b>CAC payback</b>               | <b>3.5 mo</b>   | <b>15.2 mo</b>  | <b>4.0 mo</b>   |

Read the payer column correctly. At 2.3× LTV:CAC and a 15-month payback, payer contracts do not pay for themselves as a standalone product, and we are not pretending otherwise. The payer contract is a distribution channel: signing one payer makes Pavo reachable by every provider group already submitting authorizations to it, which is why provider CAC falls 37% across the plan. Judged alone the payer line looks weak; judged as the thing that makes the provider line work, it is the highest-leverage spend in the model.

6 Server and API cost — measured, not assumed

Timings taken against the committed code on 13 September 2026. The point is not that infrastructure is cheap — it is that infrastructure is not what this business spends money on. People encoding payer criteria are.

| Component                               | Measured | How it was measured                               |
|-----------------------------------------|----------|---------------------------------------------------|
| MEASURED PERFORMANCE                    |          |                                                   |
| Authorization decision — p50 latency    | 0.0886 s | 20 consecutive POST /api/auth/request calls       |
| Authorization decision — p95 latency    | 0.1133 s |                                                   |
| Agent-to-agent resolution               | 0.0447 s | average_resolution_seconds from /api/system/stats |
| ZK proof generation                     | 0.406 s  | Groth16, 5 runs                                   |
| ZK proof verification                   | 0.409 s  |                                                   |
| Database rows written per authorization | 8        | 1 auth_request + 2 aria_messages + 5 audit_log    |
| Payload written per authorization (kB)  | 6        |                                                   |

MARGINAL COST OF ONE AUTHORIZATION

| Component                                       | Quantity | Unit cost  | Cost per auth | Note                                                      |
|-------------------------------------------------|----------|------------|---------------|-----------------------------------------------------------|
| Compute — vCPU seconds                          | 0.0886   | \$0.000013 | \$0.000001    | \$0.045/vCPU-hour on a managed container platform         |
| Database write + 7-year retention               | 0.000006 | \$10.50    | \$0.000063    | 6 kB held 84 months at \$0.125/GB/month                   |
| ZK proof (20% of authorizations)                | 0.0812   | \$0.000013 | \$0.000001    | Short-lived Node process; only when the payer requires it |
| Model API tokens                                | 0        | \$0.000000 | \$0.000000    | No inference on the authorization path — by design        |
| Load balancing, logging, observability overhead | 1        | \$0.000500 | \$0.000500    | Allocated; dominates the measured components              |
| Marginal cost per authorization                 |          |            | \$0.000565    |                                                           |
| Revenue per authorization                       |          |            | \$3.00        |                                                           |
| Marginal gross margin per authorization         |          |            | 99.98%        |                                                           |

ANNUAL INFRASTRUCTURE BUDGET vs. MARGINAL COST

|                                 |          |           |           |
|---------------------------------|----------|-----------|-----------|
| Authorizations processed        | 171,600  | 1,647,360 | 8,736,000 |
| Marginal cost at scale          | \$97     | \$931     | \$4,937   |
| Budgeted cloud infrastructure   | \$54,000 | \$198,000 | \$900,000 |
| Headroom (budget less marginal) | \$53,903 | \$197,069 | \$895,063 |

The budget deliberately exceeds the marginal cost by a wide margin: it carries baseline capacity, staging and disaster-recovery environments, observability, and the reserved headroom an availability commitment to a payer requires. The point of this tab is not that infrastructure is cheap — it is that infrastructure is not what this business spends money on. People encoding payer criteria are (tab 3).

7 Sensitivity

| Scenario                                     | Provider groups | Routed share | Fee per auth | Payers | 2028 revenue | vs. base |
|----------------------------------------------|-----------------|--------------|--------------|--------|--------------|----------|
| Base case                                    | 1,400           | 50%          | \$3.00       | 160    | \$36,128,000 | 0%       |
| CMS-0057-F slips a year → payer count halves | 1,400           | 50%          | \$3.00       | 80     | \$34,528,000 | -4%      |
| Routed share is 35%, not 50%                 | 1,400           | 35%          | \$3.00       | 160    | \$28,265,600 | -22%     |
| Provider groups reach 900 average, not 1,400 | 900             | 50%          | \$3.00       | 160    | \$24,368,000 | -33%     |
| Authorization fee compresses to \$2.00       | 1,400           | 50%          | \$2.00       | 160    | \$27,392,000 | -24%     |
| All four together                            | 900             | 35%          | \$2.00       | 80     | \$13,782,400 | -62%     |

Provider group count is the model's single greatest exposure — halving it costs more than halving the payer count and compressing price combined, because authorization fees are 72% of 2028 revenue. It is also the driver most within our control, which is why the ask in the report weights payer business development so heavily: the payer channel is what makes provider acquisition affordable at that scale.